



Minimizing effects of ‘liability of foreignness’: Response strategies of foreign firms in the United States

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ABSTRACT

While anecdotal and research evidence exists supporting the difficulties faced by foreign firms in host nation environments due to liability of foreignness, it is clear that many foreign firms have been successfully operating in the U.S. over the years. This study seeks to understand the strategies foreign firms use to cope with liabilities of foreignness in an alien environment and compete successfully with domestic firms, specifically through boundary spanning. Using a sample of 3861 firms in the U.S., we find that foreign firms on the average underperform compared to domestic firms. We also find these firms take a differing strategic posture to cope with the disadvantages of being a foreign firm compared to domestic rivals. Multiple mediation models indicate that once this strategic posture of foreign firms is controlled for, performance differentials do not exist between foreign and domestic firms.

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1. Introduction

“...foreign companies blundered by buying control of weak syndicates and hiring second-rate underwriters to run them. It helps to know which underwriters drink too much at lunch... foreigners would be very hard pressed to know the intricacies...” (Hagerty & Oster, 2002: p. A5).

Scholars working in the field of international business, starting with Hymer (1976) and Kindleberger (1969) have articulated that foreign firms face disadvantages while doing business abroad. This concept has been referred to as liability of foreignness (LOF) and has been defined as “all additional costs a firm operating in a market overseas incurs that a local firm would not incur” (Zaheer, 1995, p. 343). The original work of Hymer has been expanded by later researchers who have attributed liability of foreignness to a set of interrelated factors. Eden and Miller (2001)

use the metaphor of “stranger in a strange land” (p. c4) to differentiate the three types of additional costs faced by a foreign firm. They point out that the “stranger” is someone locals do not know, leading to discrimination hazards. According to Hymer (1976, p. 35), the “stigma of being foreign” will persist even after the firm has set up operations in the host country, wherein domestic firms could receive preferential treatment from customers, suppliers, and the local government. Being in a “strange land” leads to unfamiliarity hazards: foreign firms would lack quality information about local markets due to the lack of understanding of local environment and culture. Second, foreign firms face increased administrative expense due to costs of travel and transportation over various time zones, as well as increased setup, coordination, and monitoring costs due to operations being spread across foreign lands (Hitt, Hoskisson, & Ireland, 1994). Finally, changes in currency, economic, and political factors in host countries create higher risk for foreign firms operating in an alien environment, as compared to local firms (Bae & Jain, 2002; Hymer, 1976; Zaheer, 1995).

Several empirical studies exist that provide support for the underlying notion of liabilities of foreignness. De

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